AD-HOC OPINION · INFORMATION TECHNOLOGY

ServiceNow: from growth leader to show-me story

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Prices are as of the close on 30 October 2026.

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Software and the AI debate

Software stocks have been through a long and deep correction. Since early 2025, investors have increasingly priced in the risk that AI agents will take over tasks that companies currently pay software vendors for, licence by licence. This would erode the subscription model on which the sector has been built. ServiceNow, long seen as one of the highest-quality names in the sector, has not been spared.

The reaction to third-quarter results on 29 October shows how fragile sentiment remains. ServiceNow fell 27% in a single session, its largest one-day fall on record, and Fortinet fell by a similar amount. The move spread to other large software names such as Salesforce and Workday.

The market is no longer willing to pay in advance for growth. Software vendors that sit deep inside their customers' processes, and that can sell AI on top of an existing platform, could still turn the shift to their advantage.

Until AI visibly lifts overall growth, however, investors are likely to treat every slowdown as a warning rather than a pause. For now, AI revenue remains small compared with the size of the large software platforms, even where it is growing quickly.

The third quarter in brief

What was solid

Subscription revenue grew 21% to USD 3.99bn, in line with the pace of recent quarters. Management raised its full-year targets for subscription revenue, to USD 15.785bn at the midpoint, and for the free cash flow margin, to 36% from 35%. The target for annual contract value from AI products was raised for the second time this year, to more than USD 1.7bn.

What worried the market

Contracted revenue for the next twelve months (cRPO) is guided to grow 18.5% in constant currency in Q4, after 21% in Q3. Management points to technical factors, such as more on-premise contracts and early renewals pulled into Q3. Adjusted earnings per share also came in slightly below expectations, a rare miss for the company.

What this means for investors

Lower valuations alone are not enough to call the bottom in software. The sector has moved from a story investors paid up for to one they need to see proven. The quality of the customer base, cash generation and balance-sheet strength are now the main differences between names, and patience is likely to be required.

Source: ServiceNow, third-quarter 2026 results (28 October 2026); press reports.

ServiceNow (NOW US)

Down more than half from its peak, the share now has to earn back the market's confidence

Price (30 Oct 2026)	Subscription revenue (Q3 2026)	cRPO growth guided for Q4	2026 AI contract value target
USD 105.12	**USD 3.99bn**	**18.5%** cc	**> USD 1.7bn**
22.5x expected earnings	+21% year on year	vs. 21% in Q3	raised twice this year

1. What the company does

ServiceNow sells a cloud platform that large companies use to run and automate their internal workflows, starting with IT and extending to HR, customer service, security and finance. It now positions itself as the layer that coordinates and controls AI agents across a company, above the applications they already use.

2. Why it could do well

AI is starting to contribute. Management has raised its target for annual contract value from AI products twice this year, to more than USD 1.7bn. Because ServiceNow already holds the data and workflows of its customers, it can sell AI to an installed base rather than win new clients from scratch. The company also generates a great deal of cash: free cash flow was USD 4.5bn in 2025, and management now targets a 36% margin for 2026, up from 35%.

3. What sets it apart

The customer base is large and loyal. ServiceNow works with a large majority of the Fortune 500 and has historically renewed around 98% of its contracts. Customers that use several of its products would find it costly and disruptive to replace them. This protects existing revenue, but it does not by itself guarantee the pace of future growth, which is what the market is now questioning.

4. Cheap, or a value trap?

The share peaked at about USD 234 in January 2025 (adjusted for the five-for-one split of December 2025). It fell to USD 83 in April 2026, recovered to USD 150 ahead of the results, and has given up most of that rebound since. It now trades at about 22.5 times expected earnings, against a five-year median of about 53 times (Bloomberg), and at about 18 times the free cash flow expected for 2026 (Syz calculation). This is not the profile of a broken business: revenue still grows at about 20% a year and cash generation keeps improving. But a derating of this scale reflects a lasting change in how the market values software, and a lower multiple could prove justified if growth keeps slowing.

5. Main risks

- A further slowdown in cRPO in 2027 would weaken management's view that the Q4 deceleration is mainly technical.
- Acquisitions, led by Armis (USD 7.75bn), were partly debt-financed and weigh on margins and on the readability of organic growth.
- AI brings additional computing costs, and sentiment towards software could stay negative whatever the results.

6. What to watch next

- Q4 2026 results (late January 2027): cRPO against the 18.5% guidance and the first 2027 targets.
- Signs that AI is lifting overall subscription growth, and progress on reducing the acquisition debt.

CONCLUSION

The third quarter was not a weak quarter in itself: subscription revenue grew 21% to USD 3.99bn, and management raised its full-year targets for revenue, cash flow and AI. But the reaction confirmed that the market no longer gives ServiceNow the benefit of the doubt. The share price reflects doubts about the long-term growth of the model, not about one quarter. ServiceNow keeps real strengths: an embedded customer base, strong cash generation and a credible AI offer. These are what separate it from a company in difficulty. Restoring confidence, however, is likely to take several quarters of stable or improving growth, and the share could remain volatile in the meantime.

Chart 1 · NOW US: earnings expectations keep rising, the valuation has reset

Weekly closing price and its 40-week average (right axis), and consensus expected earnings per share for the next twelve months (left axis), in USD, adjusted for the five-for-one split of December 2025, September 2014 to 30 October 2026



Source: Syz Research, Bloomberg

Expected earnings per share have kept rising throughout the period, from about USD 1.1 at the start of 2021 to about USD 4.7 today, and continued to rise in 2025 and 2026 while the share fell. The correction therefore reflects a lower valuation rather than lower earnings expectations: the share trades at about 22.5 times expected earnings, against a median of about 53 times over the past five years. The question for the market is whether this earnings growth can last.

The third-quarter results erased most of the recovery seen since the April 2026 low. The share now stands below its 40-week average again, which is falling. A sustained move back above that average could be a first sign that sentiment is stabilising; the April low around USD 83 is the level to watch on the downside.

Sources

Syz Research, Bloomberg; ServiceNow, third-quarter 2026 results release and earnings call (28 October 2026); ServiceNow, Form 10-Q for the first quarter of 2026; press reports. Free cash flow multiple: Syz calculation based on the company's 2026 guidance.

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